QLmonthly February 2026 [1]

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[1]Based on Ellieroth & Michaud, "Quits, Layoffs, and Labor Supply" Institute Working Paper 94 (2024)

Contents

1. Recent Developments in Layoffs, Quits, and Job Finding
   Our reading: Labor market is steady
2. This Month's Special Topic
   Where are people hired from?

Layoffs Remain Stable

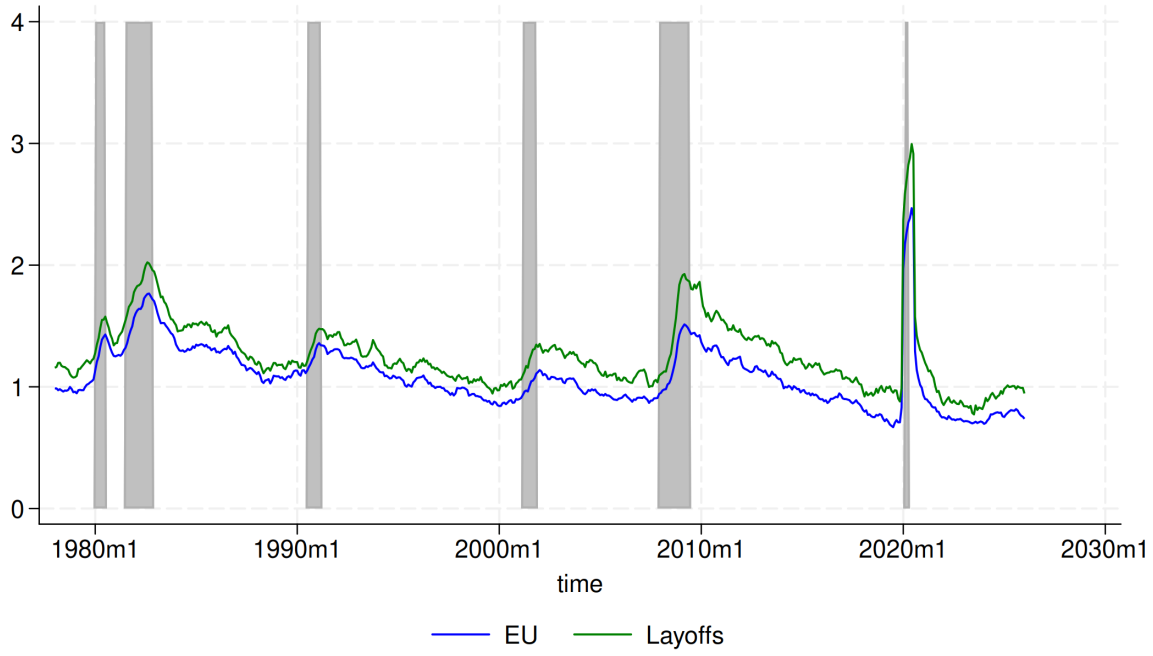


Figure: Prime age monthly Employment to Unemployment (E-to-U) flows and layoffs to non-employment from CPS household survey.

- Further evidence layoffs paused through 2025.
- Flows from Employment to Unemployment (EU) stable with signs of decline.

Quits Continue to Decline

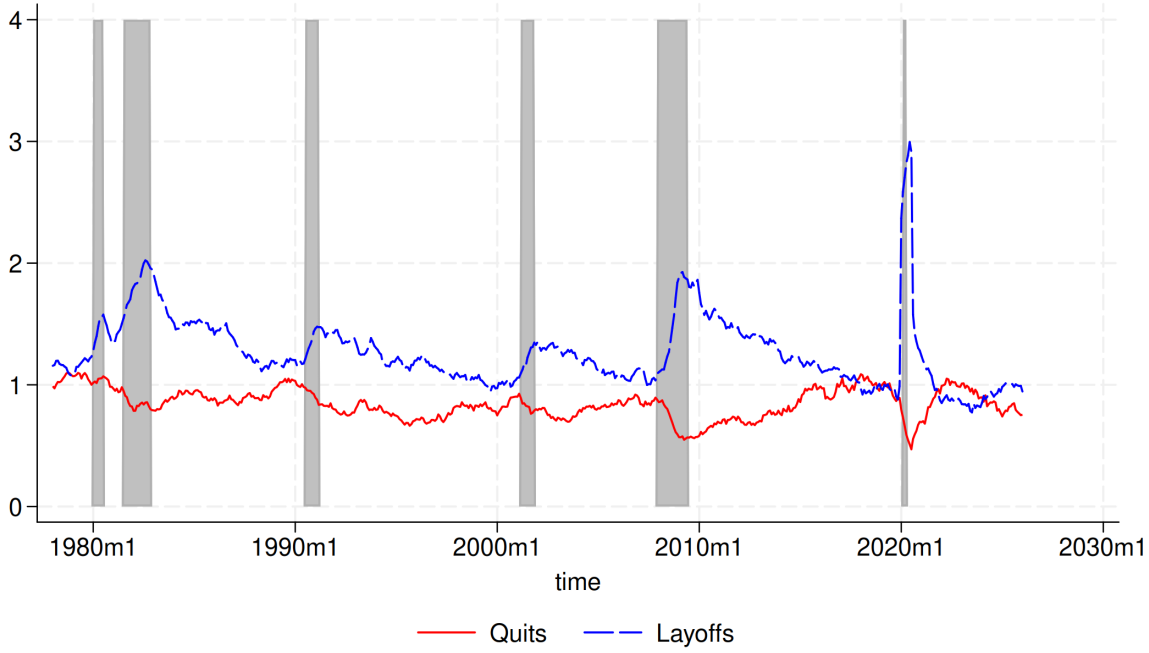


Figure: Quits and Layoffs to non-employment

- Quit rates rose in early 2025 but now show sustained declining trend.
- Current quit rate comparable to last quarter of 2024, which saw the lowest quit rate since the pandemic recession.
- Declining quit rates signal cooling of the labor market, but stable layoffs offset some of that signal.

Have jobs been getting harder to find? Not from Out of the Labor Force!

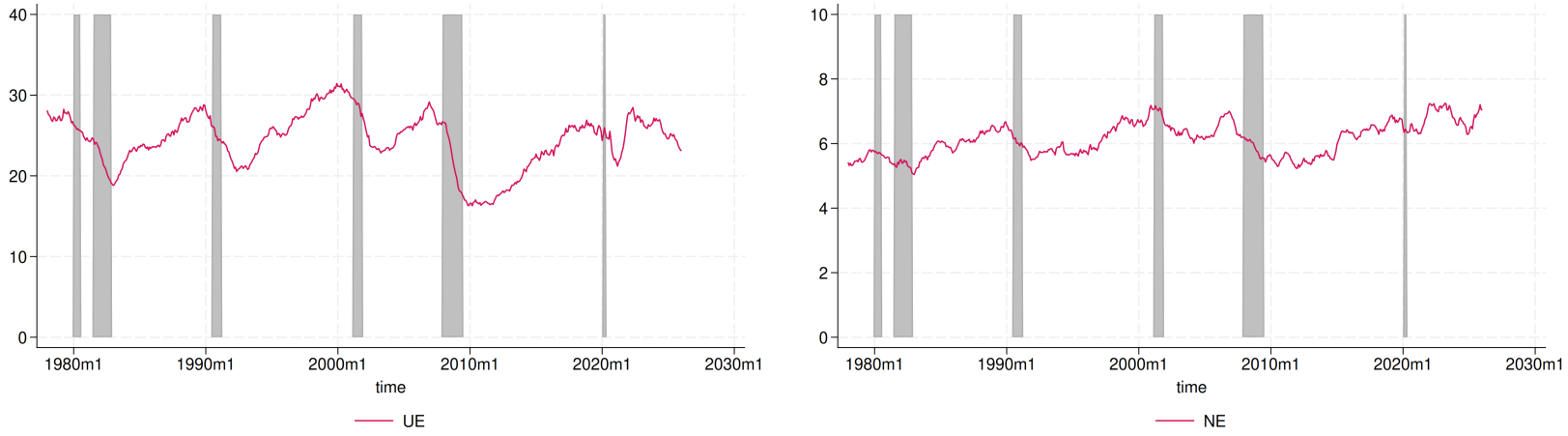


Figure: Job finding rates from unemployment (left) and non-participation (right) for Prime Age Workers

- Divergence of job finding rates from unemployment (U) and non-participation (N) continues
- Job finding rates for the unemployed continue to decline and finding rates for non-participants continue to increase

What do we make of this?

Recap: Household survey (CPS) indicates:

- Quits and layoffs signal a cooled but steady labor market.
  - Quits decline but layoffs remain stable.
- Job finding rates from U and N diverge.
  - Increasing share of workers are hired from non-participation.
- Distinction between unemployment and non-participation blurred.
  - Share of layoffs into non-participation still near all-time high.
  - Increasing job finding rates from N could be one reason,

Our reading: Flows signal cooled but stable labor market.

Discussion of the Month

Where are people hired from?

Job Finding Rates: Mixed Signals?

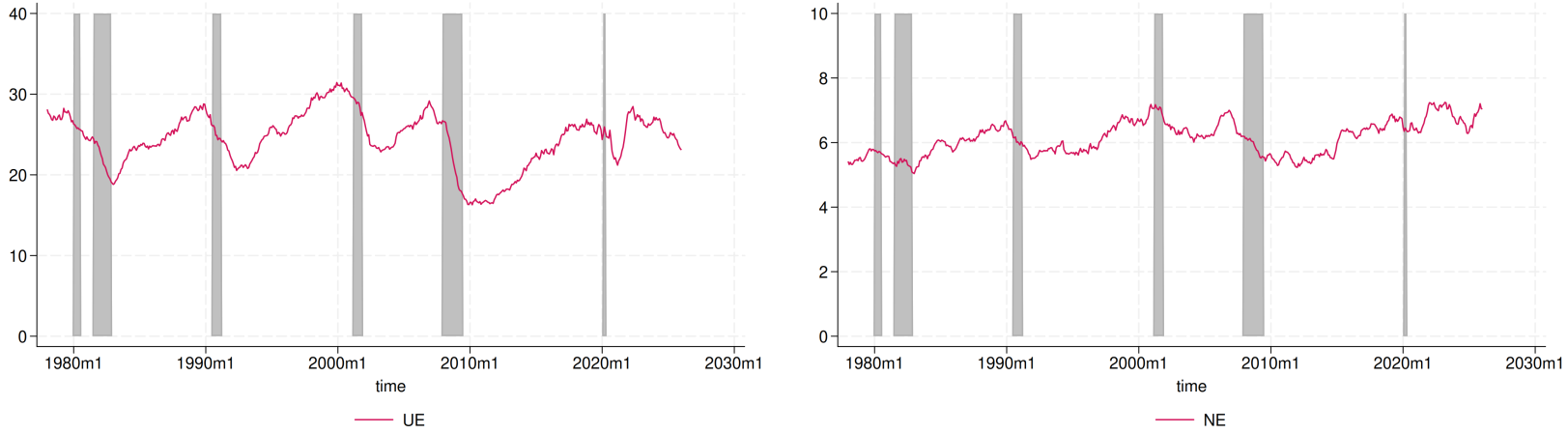
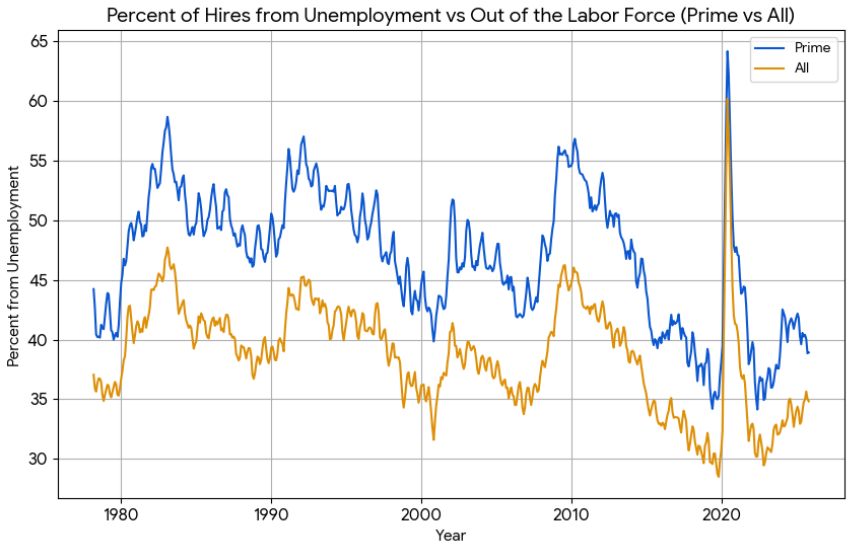


Figure: Job finding rates from unemployment (left) and non-participation (right) for Prime Age Workers

- Prime-age job finding rates show strong, sustained trends
  - but UE & NE differ in levels and are trending in opposite directions!
- Job finding is at an average pace but falling for unemployed (UE).
- Job finding at record highs and rising for out of the labor force (NE)

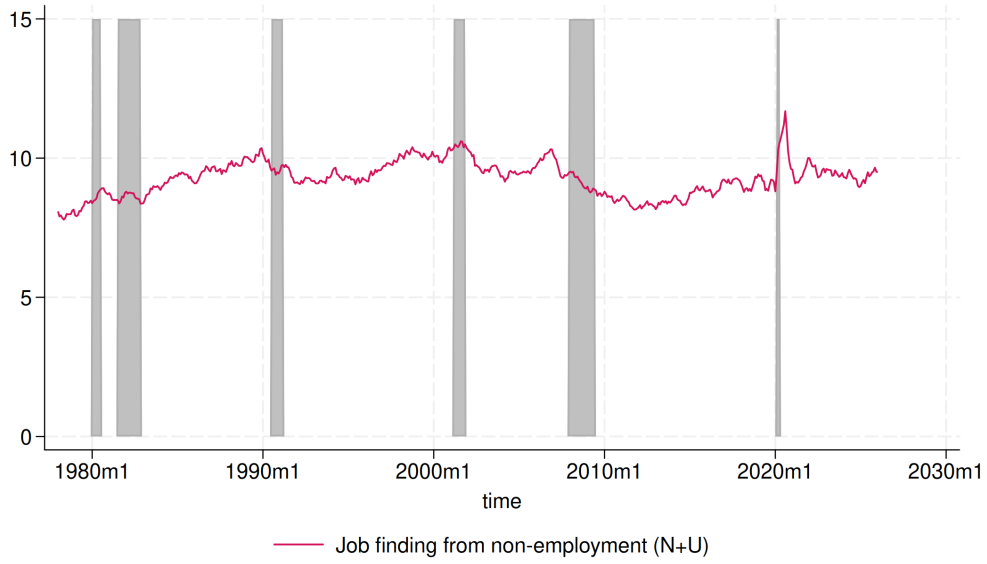
*Statistics for prime-age because demographic trends cloud the larger population.

Most non-employed hires NOT from unemployment.



- Much analysis focuses on fate of the unemployed.
- But two-thirds of people who don't have a job this month and get one the next are NOT counted in unemployment!
- Better to include ALL hires from non-employment to judge job availability.

Job finding rate from Non-employment has recovered



- For prime-age (25-54) who are not employed:
  - it is easier to find a job today than in the entire 2010's decade.
  - job-finding rates did dip in XX, but are now recovered to rates similar to 2022-23.